

In simple words, whenever the Repo Rate increases, the borrowing gets costlier for banks and companies. For example, if the bank is taking a loan from the RBI at a higher interest rate, the bank in return will charge a higher interest rate to companies and people to cover the same. This results in a further reduction of money supply, asset prices, and economic growth. On the other hand, whenever the Repo Rate decreases, it makes the money cheaper to borrow and stimulates growth but this can also cause inflation in the economy.

Monetary Policy
every 2 months

Trading Signals
every 2 months

No Change in RR

No Trading
Signal

This monetary policy is reviewed by the RBI every two months. This is why this trading setup will only generate trading signals once every two months. Whenever the RBI decides to keep the Repo Rate unchanged, we will not be trading.

The quantity of trades will be less when using this setup, but as I will show you, the efficiency of this trading setup is really good.

Now that you know about the Repo Rate and its effects on the economy and markets, let's dive into the strategy.